Release,[288] the Electronic Submission Adopting Release,[289] and the Customer Notification Adopting Release.[290] These adopted rules were not included as part of the baseline in the Proposing Release because they were not yet adopted at that time, but they are part of the baseline against which this economic analysis considers the benefits and costs of the final amendments. Accordingly, this economic analysis also considers potential economic effects arising from any overlap that may exist between the compliance period for the final amendments and the compliance periods for these other adopted rules.[291]

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288 *Disclosure of Order Execution Information*, Exchange Act Release No. 99679 (Mar. 6, 2024) [89 FR 26428 (Apr. 15, 2024)] ("Rule 605 Adopting Release"). The Commission adopted amendments to rules requiring disclosures for order executions in NMS stocks, including expanding the scope of reporting entities, modifying the scope of orders covered by the rule, and modifying the information required to be reported under the rule. The rule has an effective date of June 14, 2024 and, with a few exceptions, a compliance date of December 14, 2025. *See* Rule 605 Adopting Release, section VII.

289 *Electronic Submission of Certain Materials Under the Securities Exchange Act of 1934; Amendments Regarding the FOCUS Report,* Release Nos. 33-11342; 34-101925; IC-35420 (Dec. 16, 2024) ("Electronic Submission Adopting Release"). Under the amendments, certain forms and other filings or submissions must be filed or submitted electronically on the Commission's Electronic Data Gathering, Analysis, and Retrieval ("EDGAR") system, using structured data where appropriate. This includes certain forms, reports, notices, schedules and exhibits provided by broker-dealers, security-based swap dealers, self-regulatory organizations ("SROs") and major security-based swap participants. The amendments also require the information currently contained in Form 19b-4(e) to be publicly posted on the SRO's website, and they remove the manual signature requirements for SRO proposed rule change filings. The amendments are effective 60 days after publication in the Federal Register, and the compliance dates range from June 30, 2025, to June 30, 2028, depending on the type of filing or submission and on whether the filing firm's minimum fixed dollar net capital requirement is less than $250,000 as of Dec. 31, 2024. Electronic Submission Adopting Release, section VIII.

290 *Regulation S-P: Privacy of Consumer Financial Information and Safeguarding Customer Information,* Release Nos. 34-100155; IA-6604; IC-35193 (May 15, 2024) [89 FR 47688 (June 3, 2024)] ("Customer Notification Adopting Release"). The Commission amended Regulation S-P to require brokers, dealers, funding portals, investment companies, registered investment advisers, and transfer agents to adopt written policies and procedures for incident response programs to address unauthorized access to or use of customer information. These must include procedures for providing timely notification to individuals affected by an incident involving sensitive customer information with details about the incident and information designed to help affected individuals respond appropriately. Among other things, the amendments also extended to transfer agents the requirements to safeguard customer records and information, and they broadened the scope of the information covered by those requirements. The compliance date for larger entities is December 3, 2025, and June 3, 2026, for smaller entities. Customer Notification Adopting Release, section II.F.

291 *See infra* section IV.C.3. of this release.

a. Rule 15c3-3

Carrying broker-dealers are broker-dealers that maintain custody of customer securities and cash. Rule 15c3-3, known as the broker-dealer customer protection rule, is designed to give specific protection to customer funds and securities. For example, a broker-dealer is "virtually" precluded from using customer funds to buy securities for its own account.[292]

Preexisting Rule 15c3-3 specifies that a carrying broker-dealer must undertake two primary steps to safeguard these customer assets. First, carrying broker-dealers are required to maintain physical possession or control over customers' fully paid and excess margin securities.[293] Second, a carrying broker-dealer must maintain a customer reserve bank account that must hold funds and/or qualified securities that are at least equal in value to the net cash owed to customers. The amount of net cash owed to customers is computed weekly as of the close of the last business day of the week pursuant to the customer reserve computation.[294] Performing a customer reserve computation requires a carrying broker-dealer to add up customer credit items and then subtract from that amount customer debit items. To ensure accuracy of the computations, these credit and debit items are reconciled with other firm data and the computations pass through pre-established internal controls.[295] If credit items exceed debit items, the net amount must be on deposit in the customer reserve bank account.[296] A carrying broker-

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292 *See* section I.C.1. of this release (describing the purposes of Rule 15c3-3).

293 *See* section I.C.1. of this release (describing possession and control requirements for customers' securities).

294 Some carrying broker-dealers choose to perform a daily computation. *See* paragraph (e)(3)(iv) of Rule 15c3-3. Further, the rule permits carrying broker-dealers in certain limited circumstances to perform a monthly computation. *See* paragraph (e)(3)(i) of Rule 15c3-3. *See* also section I.C.1. of this release (describing the customer reserve bank account and customer reserve computation).

295 *See* SIFMA Letter at 4.

296 *See* paragraph (e) of Rule 15c3-3. *See also* section I.C.1. of this release (describing the customer reserve bank account and customer reserve computation).

dealer also is required to make and maintain a record of each computation.[297] Rule 15c3-3 also specifies the way a carrying broker-dealer carries accounts that hold proprietary securities and cash of other broker-dealers, known as PAB accounts.[298] Broker-dealers are not within the definition of "customer" for purposes of Rule 15c3-3, however, the definition of "customer" under SIPA, includes broker-dealers with a proprietary securities account at a carrying broker-dealer. As discussed in more detail in section I.C.2. of this release, broker-dealers—as SIPA customers—have the right to share *pro rata* with other customers in the customer property in a SIPA liquidation if there is a shortfall in the amount the failed broker-dealer owes its customers. Because broker-dealers that are SIPA customers are entitled to a *pro rata* share of customer property,[299] Rules 15c3-3 and 15c3-3a require carrying broker-dealers to: (1) perform a PAB reserve computation in addition to the customer reserve computation;[300] (2) establish and hold cash and/or qualified securities in their PAB reserve bank account in an amount determined by the PAB reserve computation; and (3) obtain and maintain physical possession or control of securities carried for a PAB account holder, unless the carrying broker-dealer has provided written notice to the PAB account holder that it may use those securities in the ordinary course of its securities business and has provided opportunity for the PAB account holder to object to such use.[301]

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297 *See* paragraph (e)(3)(v) of Rule 15c3-3. Each record must be preserved in accordance with Rule 17a-4. *Id.*

298 *See* section I.C.1. of this release (describing Rule 15c3-3 and PAB accounts).

299 *See* section I.C.2. of this release (describing broker-dealer liquidations and SIPA).

300 *See* section I.C.1. of this release (describing Rule 15c3-3 and customer accounts).

301 *See* section I.C.1. of this release (describing Rule 15c3-3 and PAB accounts).

b. SIPA and the SIPC Fund

As described in section I.C.2. of this release, SIPA established SIPC and directed SIPC to establish the SIPC Fund.[302] At the end of 2023, SIPC reported 3,297 members.[303] The SIPC Fund totaled approximately $4.47 billion as of December 31, 2023, and currently the objective is to build it to a level of $5 billion. To date, SIPC has carried out 330 liquidations since its inception with approximately $141.6 billion in assets distributed to customers.[304] Of that, about $141.6 billion came from debtors' estates (i.e., SIPC broker-dealer members' estates), while $915.7 million came from the SIPC Fund.[305]

c. Reserve Account Requirement for Security-Based Swaps

In 2019, the Commission adopted customer segregation requirements for broker-dealers and SBSDs with respect to customer money, securities, and property related to security-based swaps.[306] Under these requirements, broker-dealers (including broker-dealers that are also SBSDs) are required to perform a separate weekly security-based swap customer reserve computation and have a separate security-based swap customer reserve account that must hold

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302 *See* 15 U.S.C. 78ccc(a)(1) and 78ddd(a)(1).

303 *See* 2023 SIPC Annual Report, Table 2, at 10.

304 As of the end of 2023. *See* section I.C.2. of this release, describing broker-dealer liquidations and SIPA. The volume of proceedings was highest in the 1970s (15 per year), while between 1980 and 2003 the number averaged about seven per year. Since 2003 the average has been one per year (with the highest number, five, occurring in 2008, while there were 10 years with none). *See* 2023 SIPC Annual Report, Figure 1, at 8.

305 *See* 2023 SIPC Annual Report at 8-9, for the statistics in this paragraph. SIPC refers to distributions to customers as "advances," though the 2023 SIPC Annual Report does not detail the timing of those advances in the 330 proceedings.

306 *See* SBS Segregation Adopting Release. *See also* section II.F. of this release (discussing reserve account requirements for security-based swaps).

the net amount of cash owed to security-based swap customers.[307] These requirements were based in part on the requirements of Rules 15c3-3 and 15c3-3a discussed above.[308]

2. Affected Broker-Dealers

Table 2 presents the universe of broker-dealers by presence of carrying activities.[309] As of December 2023, 157 broker-dealers identified in Line 40 of the FOCUS Report reported that they carry their own customer accounts. Among these, 64 reported having only customer credits, 64 reported having both customer and PAB credits, none reported having only PAB credits,[310] and 14 broker-dealers reported having no customer credits or debits. Further, 15 broker-dealers reported having exemptions from the requirements of Rule 15c3-3, including performing a customer reserve computation.[311] In addition, 34 broker-dealers that did not identify themselves as those that carry their own customer accounts in Line 40 of the FOCUS Report reported customer and/or PAB credits in their customer or PAB reserve computations. Among these, five

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307 *See* paragraph (p) of Rule 15c3-3; 17 CFR 240.15c3-3b. *See also* section II.F. of this release (discussing reserve account requirements for security-based swaps, and SBS FAQ 1 for staff views). SBSDs that are not broker-dealers (other than OTC derivatives dealers) are subject to the segregation requirements of Exchange Act Rules 18a-4 and 18a-4a.

308 *See id. See also* section I.C.1. of this release (discussing the requirements of Rules 15c3-3 and 15c3-3a).

309 Based on monthly FOCUS Report data for the reporting year 2023. The Commission assumes that broker-dealers that did not file FOCUS Reports for the last month of 2023 are no longer in business.

310 PAB account holders are not considered customers under paragraph (a)(1) of Rule 15c3-3. *See* section I.C.1. of this release (describing Rule 15c3-3 and PAB accounts).

311 There are three exemptions to Rule 15c3-3, each related to the procedure broker-dealers follow when they receive customer funds and securities. The first exemption is for broker-dealers that partake in limited mutual fund and insurance-related business. The exemption allows such firms to briefly handle customer funds, but not maintain indefinite custody of those funds or securities. The second exemption applies to broker-dealers that clear their transactions on what is known as a "receive versus payment/delivery versus payment (RVP/DVP) basis." In an RVP/ DVP settlement, a broker-dealer executes simultaneous exchanges of an equal value of funds for securities. As such, the broker-dealer does not end up holding any residual customer funds or securities. The third exemption is also available to broker-dealers that temporarily handle customer funds. This broker-dealer, called an "introducing broker," establishes accounts in the name of its customers at another broker-dealer, a "clearing broker." The clearing broker then maintains custody of those customers' cash and securities in those accounts on a fully disclosed basis. *See* paragraph (k) of Rule15c3-3.

broker-dealers had both customer and PAB credits, 28 broker-dealers had customer credits only, and one broker-dealer had PAB account credits only.

When the Commission computed average total credits using data for January 2023 through December 2023, the Commission estimated that there are 191 broker-dealers ("carrying broker-dealers") that currently fall within the scope of the Rule 15c3-3 (though of this group, 29 carrying broker-dealers reported zero customer or PAB credits in 2023). In aggregate, these carrying broker-dealers hold approximately 83% of all broker-dealer assets,[312] and report approximately $1.1 trillion in total credits and approximately $0.93 trillion in total debits, as of December 2023.[313]

Table 1. Broker-Dealers by Carrying Activity, 2023.[a]

Broker-Dealer Type	#	Total Assets, $B	Total Credits, $B		Total Debits, $B	
			Monthly Average	Year-End	Monthly Average	Year-End
Carrying its own customer accounts:	157	4,782.7	1,027.4	1,102.7	825.7	922.4
- with positive customer and PAB credits	64	4,143.0	993.8	1,079.0	794.5	901.1
- with positive customer credits only	64	570.6	33.5	23.7	31.2	21.3
- with zero reported credits	14	64.2	0	0	0	0
- with reporting exemptions	15	5.0	-	-	-	-
Not carrying its own customer accounts:	34	110.1	20.5	21.9	6.3	7.8
- with positive customer and PAB credits	5	49.6	2.0	2.4	1.8	2.3
- with positive customer credits only	28	59.7	18.4	19.2	4.4	5.2
- with positive PAB credits only	1	0.8	0.06	0.4	0.07	0.4
Without any carrying activities	3,208	1013.8	-	-	-	-
Total	3,399	5,906.6	1,047.9	1,124.6	832.0	930.2

312 Total assets are reported on Line 940 of the FOCUS Report.

313 The Commission uses monthly FOCUS Reports to calculate total credits and total debits. For each carrying broker-dealer, total credits are calculated as the sum of customer credits reported on Line 4430 and the PAB credits reported on Line 2170. Similarly, for each carrying broker-dealer, total debits are calculated as the sum of the customer debits reported on Line 4472 and the PAB debits reported on Line 2230.

[a] Data are for calendar year 2023. The Commission uses monthly FOCUS Reports to calculate average monthly total credits and total debits. For each carrying broker-dealer, total credits are calculated as the sum of the average monthly amount of customer credits reported on Line 4430 and the average monthly amount of PAB credits reported on Line 2170. Similarly, for each broker-dealer, total debits are calculated as the sum of the average monthly amount of customer debits reported on Line 4472 and the average monthly amount of PAB debits reported on Line 2230.

Table 3 displays the carrying broker-dealers that reported positive customer or PAB credits in 2023 into groups based on the size of their average monthly total customer and PAB credits (averaged over January 2023 to December 2023).[314]

Table 2. Carrying Broker-Dealers by Size of Average Total Credits, 2023

	#	Total assets ($B)	Total Customer Credits, $MM			Total PAB Credits, $MM			Total Credits, $MM	
			#	Mean	Median	#	Mean	Median	Mean	Median
>$0-100MM	87	272.2	87	13.6	1.9	22	0.9	0	14.5	2.2
$100-250MM	14	132.3	14	157.1	152.3	8	3.2	0	160.3	153.9
$250-500MM	12	341.6	12	296.1	296.6	8	61.0	13.5	357.2	315.3
$500MM-1B	8	122.7	8	673.6	633.1	7	24.1	2.5	697.7	633.2
$1-5B	17	337.3	17	2,239.8	2,103.3	15	104.6	6.3	2,344.3	2,136.5
$5-10B	6	122.9	6	6,554.2	6,702.3	6	646.8	64.8	7,201.0	6,734.2
≥$10B	18	3,494.7	18	46,919.0	33,591.7	16	5,939.0	183.0	52,858.1	36,846.2
Total[a]	162	4,823.6	162	5,767.1	57.7	82	701.3	0.0	6,468.4	63.0

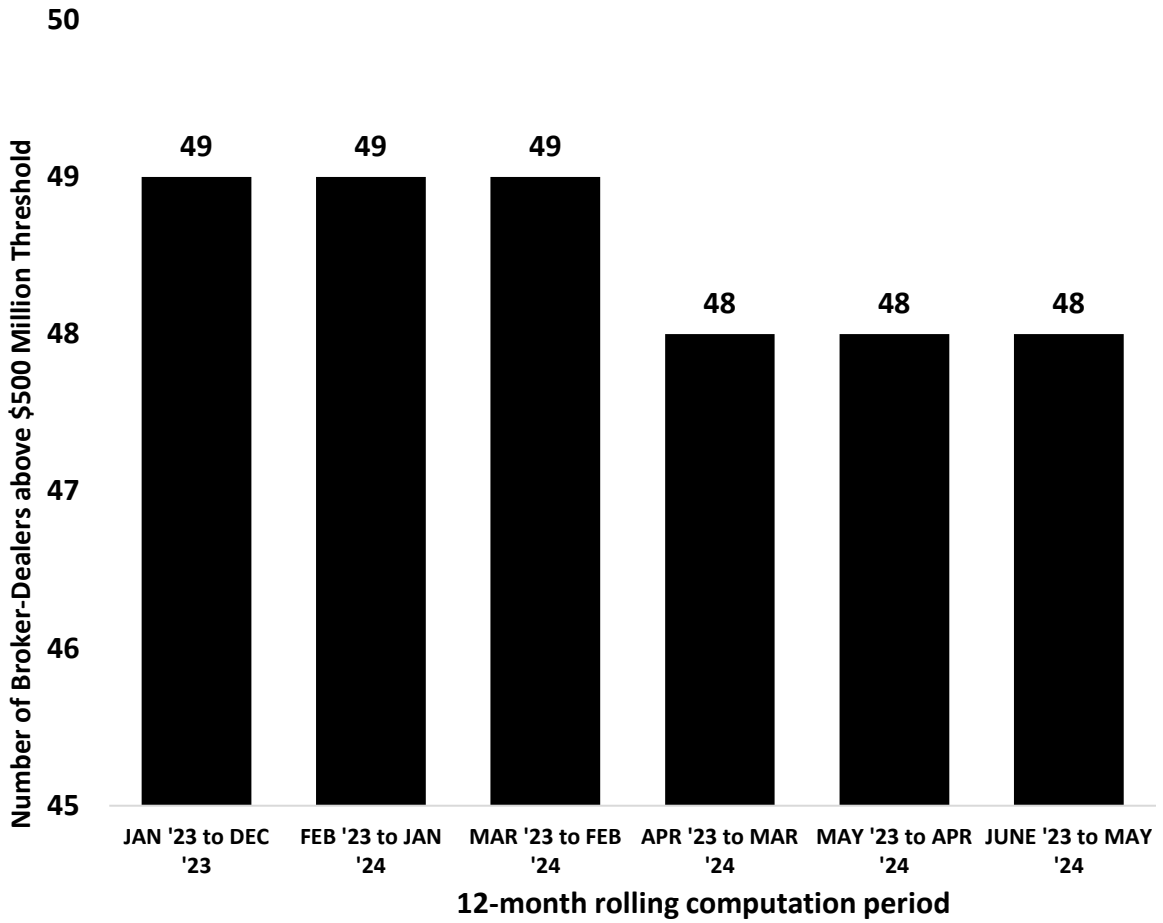
[a]Table excludes carrying broker-dealers with zero reported credits in 2023.

The final amendments modify the proposal by raising the proposed $250 Million Threshold to $500 million. Thus, the daily computation requirement applies only to carrying broker-dealers whose average total credits are above the $500 Million Threshold. Therefore, the Commission estimates that, based on data for January 2023 through December 2023, the scope of affected entities was 49 carrying broker-dealers, which held 99.3% of aggregate total credits of all carrying broker-dealers.

[314] The grouping is based on the average monthly amount of customer credits reported on Line 4430 and the average monthly amount of PAB credits reported on Line 2170.

The number of affected carrying broker-dealers may vary month to month since a 12-month rolling average is used for the calculation of the $500 Million Threshold. To provide information on how the number of entities may thus vary over time, Figure 1 displays the number of affected carrying broker-dealers for a sequence of 12-month rolling averages beginning with January 2023 and extending through May 2024.[315]

Figure 1. Number of Affected Broker-Dealers under 12-Month Rolling Average, Over the Period from January 2023 – May 2024



[315] Figure created from monthly FOCUS Reports, from January 2023 through May 2024. The first 12-month computation period is January 2023 to December 2023, the second period is February 2023 through January 2024, and so on. The total number of carrying broker-dealers that reported positive total credits in each of the six rolling periods shown in Figure 1 equaled 162, 160, 160, 159, 158 and 160, respectively.

As shown in Figure 1, the number of affected carrying broker-dealers varied monthly from 49 to 48 over the period from January 2023 through May 2024. There was little variation, however, in the identity of the affected carrying broker-dealers. The same 47 carrying broker-dealers met the $500 Million Threshold in each month, and from one to two additional carrying broker-dealers met the $500 Million Threshold in any given month.[316] In total, over this period, 50 different carrying broker dealers would have been affected.

With respect to the frequency of computation, based on the January 2023 to December 2023 period (12-month period), Table 4 displays the number of carrying broker-dealers performing their computations daily, weekly, and monthly in each size category for average total credits.[317]

Table 43. Reserve Formula Computation Frequency, 2023

Average Total Credits	#	Customer Reserve Formula				PAB Reserve Formula			
		#	Daily	Weekly	Monthly	#	Daily	Weekly	Monthly
>$0-100MM	87	87	1	72	11	22	0	18	1
$100-250MM	14	14	0	14	0	8	0	6	0
$250-500MM	12	12	0	12	0	8	0	8	0
$500MM-1B	8	8	0	8	0	7	0	7	0
$1-5B	17	17	1	16	0	15	1	14	0
$5-10B	6	6	0	6	0	6	0	6	0
>= 10B	18	18	8	10	0	16	8	8	0
Total	162	162	10	138	11	82	9	67	1

316 One of the carrying broker-dealers above the $500 Million Threshold withdrew its broker-dealer registration from the Commission in February 2024. This carrying broker-dealer is excluded from the number of affected carrying broker-dealers in each of the three rolling periods following the rolling period that covers March 2023 to February 2024.

317 Data from monthly FOCUS Reports filed for the 2023 calendar year. A small number of carrying broker-dealers did not identify any customer or PAB reserve computation frequency (for example, for broker-dealers reporting positive credits in customer accounts, one failed to report reporting frequency in its FOCUS Report). Therefore, the total number of carrying broker-dealers exceeds the sum of the number of broker-dealers who identified a daily, weekly, or monthly computation frequency.

As shown in Table 4, out of 162 carrying broker-dealers that reported the frequency of their customer reserve computations, 10 carrying broker-dealers performed the customer reserve computation daily, among which 9 also performed the PAB reserve computation daily and one which does not report carrying PAB accounts. Among carrying broker-dealers performing the customer reserve computation daily, 9 had total credits above the $500 Million Threshold. These 9 carrying broker-dealers accounted for 61.9% of the total amount of average total credits among all carrying-broker dealers with positive customer or PAB credits reported in 2023.[318] All the carrying broker-dealers performing the PAB reserve computation daily had total credits above the $500 Million Threshold.[319]

Based on the January 2023 to December 2023 period, there were 40 carrying broker-dealers with average total credits equal to $500 million or above performing the customer reserve computation weekly and there were no carrying broker-dealers with average total credits equal to $500 million or above performing the customer reserve computation monthly. Among the 40 carrying broker-dealers performing a weekly customer reserve computation, there were 35 carrying broker-dealers that performed the PAB reserve computation weekly and there were no carrying broker-dealers with average total credits equal to $500 million or above that performed the PAB reserve computation monthly. Based on the data for 2023, the Commission estimates that 40 carrying broker-dealers will be affected by the final amendments.

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318 Calculated from monthly FOCUS Reports for 2023.

319 The carrying broker-dealers identified as computing daily in the January 2023 to December 2023 sample were also computing daily in the June 2023 to May 2024 period (for both customer and PAB accounts). The June 2023 to May 2024 sample included one additional carrying broker-dealer with average total credits below the $500 Million Threshold that performed customer reserve computations on a daily basis.